Axis Max Life Insurance Limited

September 11, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Subordinate debt*	SEBI	686.00	CARE AA+; Stable	Assigned
Subordinate debt*	SEBI	1,300.00	CARE AA+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

**The rated subordinate debt issuance exhibits following key features:*

- *The company can pay interest only if its solvency ratio is above the regulatory minimum.*
- *If the solvency ratio falls below the regulatory threshold, or if paying interest causes the solvency ratio to drop below the regulatory minimum, then the company must get approval from the regulator before making interest payments.*
- *If payment of interest results in a net loss or increases an existing net loss, regulatory approval is needed for the same.*

Delay in payment of interest / principal (as the case may be) following the invocation of covenants, would constitute an event of default per CARE Ratings Limited's (CareEdge Ratings') definition of default and as such these instruments may exhibit sharper migration of the rating.

Rationale and key rating drivers

Reaffirmation of ratings assigned to Axis Max Life Insurance Limited's (AMLI's) subordinate debts takes into consideration its strong parentage (Axis Bank Limited [ABL-rated 'CARE AAA, Stable'] and its subsidiaries, together referred as Axis Group, hold 19.99% stake in AMLI), where AMLI remains strategically important to Axis Bank as demonstrated by the ₹1,612-crore equity infusion in FY25 and ₹381 crore in June 2026 by ABL, increasing stake of ABL and its subsidiaries to 19.99% (from 19.02%). AMLI continues to benefit from management oversight in the form of ABL representatives on the Board and strong brand linkages. Ratings further factor in AMLI's established market position, with its status as one of top four private life insurance players in India, with a market share of 10.35% in FY26 (PY: 9.8%), among private insurers based on individual weighted new business premium (NBP)[3], its comfortable solvency levels, and strong liquidity buffers.

However, ratings are constrained by AMLI's relatively higher operating expenses and susceptibility of its business growth and profitability to evolving regulatory landscape.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant increase in the shareholding of the Axis Group in AMLI.
- Healthy improvement in market position, profitability, and solvency on a sustained basis.

Negative factors: **Factors that could individually or collectively lead to negative rating action/downgrade:**

- Material stake dilution or weakening in expected support from and strategic importance to ABL.
- Deterioration in credit profile of ABL.
- Solvency margin remaining below 1.7x on a sustained basis.
- Significant decline in market position on a sustained basis.

Analytical approach:

Standalone and factoring in strength of the promoter, ABL. Being strategically important to ABL, AMLI is expected to benefit from operational, financial, managerial, and brand linkages with ABL.

Outlook: Stable

The Stable outlook reflects CareEdge Ratings' expectation of steady earnings in FY27, while maintaining its solvency margin above 1.7x. CareEdge Ratings also expects AMLI to remain strategically important to ABL and receive need-based capital support to maintain its growth requirements.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.
[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.
[3] Individual weighted new business premium is first year regular premium + 10% of individual single premium

Detailed description of key rating drivers

Key strengths

Strong parentage and continued support expected from ABL

AMLI is jointly promoted by ABL and Max Financial Services Limited (MFSL). AMLI's strategic importance to the Axis Group is demonstrated by increase in its shareholding to 19.99% as on June 30, 2026, from ~13.00% as on March 31, 2024. ABL infused preferential equity capital of ₹1,612 crore in April 2024, and ₹381 crore through preferential issue in June 2026, increasing Axis Bank and its subsidiaries stake to 19.99% from 19.02%. MFSL, which holds 80.01% stake in AMLI, is a widely held listed company with promoters holding less than 2%, and Mitusi Sumitomo Insurance (21.86%) and Mutual Funds (~37%) being major shareholders as on June 30, 2026. The Boards of MFSL and AMLI have approved a roadmap for listing of AMLI, where MFSL is proposed to be reverse merged with AMLI.

AMLI derives business synergies from ABL, which is evident through capital, managerial, and business support apart from brand and logo sharing. AMLI also has four Board representatives from ABL, which provides access to its strong distribution franchise of 6,295 pan-India branches as on June 30, 2026, with AMLI having counter share of 65-70% in ABL's life insurance sourcing business. Overall ABL contributed 40-45% to AMLI's individual NBP in FY26.

ABL is the third-largest private bank in India with advances base of ~₹12.62 lakh crore as on June 30, 2026. ABL's subsidiaries are engaged in providing a wide array of financial services and operating areas of asset management, investment management, broking, non-banking financial services, and others. AMLI is a strategically important entity for the Axis Group, providing access to life insurance business.

AMLI's Board consist of four Nominee Directors from ABL bringing in strategic oversight, industry expertise, corporate governance, and standard risk management practices on board. The Board has four Independent Directors. AMLI is led by Sumit Madan (Managing Director and Chief Executive Officer) having over two decades of experience in the banking financial services and insurance (BFSI) sector.

Going forward, CareEdge Ratings expects ABL to continue to provide managerial, business, and need-based capital support to AMLI, augmenting its business growth and market presence.

Adequate solvency position

The company's solvency position is supported by strong capital raising ability and financial flexibility given its parentage and internal accruals. AMLI had an adequate solvency position as on June 30, 2026, with a solvency margin of 1.98x (as on March 31, 2026: 1.94x) supported by capital infusion of ₹381 crore by ABL in June 2026. The company's solvency margin remained well above the regulatory requirement of 1.50x translating into surplus (after considering 1.5x of required solvency margin) of ₹3,123 crore as on June 30, 2026.

Going forward, CareEdge Ratings expects the company to continue to maintain solvency margins above 1.7x on a sustained basis.

Established market position

In the last two decades, AMLI has strengthened its market position and is among the top four private life insurance players with a market share of 10.35% in FY26 (PY: 9.8%) in terms of individual weighted NBP. The market share is driven by four-year compounded annual growth rate (CAGR) of 16.38% in NBP to ₹14,503 crore in FY26. The strong business growth for AMLI has been led by diversification in its distribution channels over the years. The concentration in banca channel reduced to 48% of individual NBP in FY26 (March 2022: 64%). The company has been ramping up its proprietary channels (direct + agency), the share of which increased to 45% in terms of annualised premium equivalent (APE) in FY26 [PY: 42%].

Though the share of banca channel has been decreasing, the contribution from the channel continues to remain significant with ABL contributing 40-45% to the individual NBP in FY26. However, the company has adopted open architecture for distribution with AMLI having tie-ups with other private and regional banks apart from tie-ups with non-banking financial companies (NBFCs), other finance institutions, and fintech companies.

Led by a strong distribution franchise, the company has an adequately balanced and diversified product mix with the highest proportion of share in terms of Unit Linked Insurance Plans (ULIP) of 36% in terms of APE in FY26 (PY: 42%). Consequently, share of non-participating (Non-PAR) savings in total APE decreased to 21% in FY26 (PY:23%), while share of participating (PAR) was stable at 16% (PY:15%). Per industry wide trend, protection and health increased to 13% (PY: 10%), supported by Goods and Services Tax (GST) relief. Notably, annuity increased to 10% (PY: 5%) and group funds was stable at 5% (PY: 5%). CareEdge Ratings expects the product mix to remain diversified with AMLI adopting balance growth approach.

Going forward, CareEdge Ratings expects AMLI to continue to benefit from brand and logo sharing with ABL, which aligns with the company's overall strategic focus on individual segment.

Healthy profitability supported by improving persistency

AMLI's operating return on embedded value (ROEV) ranged between ~19% and ~22% in the last four years. Operating ROEV is supported by continued growth momentum in individual business and growth in absolute value to new business (VNB), which grew by four-year CAGR of 15% to ₹2,647 crore in FY26, with FY26 VNB margin being at 25.20%. Reported expense of management (EOM) to Gross Written Premium (GWP) remained high compared to peers at 25% in FY26 (PY: 23%). The high EOM is attributed to the focus on augmenting retail business through scaling up its proprietary channels. CareEdge Ratings expects VNB margins to remain range bound in the near-to-medium terms.

In FY26, the company reported its net investment income of ₹9,699 crore (PY: ₹13,749 crore), due to decline in the fair value of investments and losses on sale of investments. However, supported by growing absolute VNB the total embedded value of the company increased to ₹28,871 crore as on March 31, 2026 (PY: ₹25,192 crore), and to ₹30,415 crore in June 2026. However, the company's return on net worth (RONW) moderated to 4.7% in FY26 (PY: 8.5%), due to changes in product mix, and investments made in distribution channels.

In Q1FY27, APE grew by 15% year-over-year (y-o-y) leading to absolute VNB growth of 33% to ₹ 446 crore, despite being impacted due to GST rate cuts leading to input tax credit loss. VNB margins improved to 23.20% (Q1FY26: 20.10%) due to favourable changes in product mix with the rise of share of Protection and Health insurance policies. GST rate cuts have impacted the entire life insurance industry in terms of loss of input tax credit. However, this impact is short-term in nature. It is expected to benefit the industry with increasing demand for life insurance products with traction in products, such as protection.

Profitability is supported by improving persistency ratio across cohorts. As on June 30, 2026, persistency ratio for 13th month was stable at 83.0% (March 26: 83%), it improved to 74% (March 2026: 73.0%) for 25th month, to 67.0% (March 2026: 66.0%) for 37th month, to 59% (March 2026: 58.0%) for 49th month, and to 59% (March 2026: 58.0%) for 61st month.

Going forward, CareEdge Ratings notes the company's ability to maintain its growth momentum while improving profitability, by controlling operating expenses and meeting the underwriting assumptions for persistency and mortality, remains a key rating monitorable.

Key weaknesses

Ability to sustain growth in its individual business

AMLI's premium growth has been led by individual NBP, which grew by 17% in FY26, compared to a growth of 11% for the life insurance industry. Individual NBP accounts for 85% of the total NBP in FY26 for AMLI, while it accounts for 40% for the industry. The group NBP accounting for 15% of total NBP largely comprises credit life protection business with ABL being the major contributor.

While CareEdge Ratings notes that the growth in individual business is enabled by its diversified distribution channels, the company's ability to continue to maintain growth momentum in individual business remains a key rating monitorable.

Changing regulatory dynamics and competitive industry landscape

Long-term growth prospects for the Indian life insurance sector remain robust with low penetration of life insurance as a percentage of GDP in India supported by strong socio-economic growth drivers. As the Indian life insurance sector continues to evolve, the sector has been witnessing slew of regulatory changes. Some key regulatory changes include an increase in surrender values of life insurance policies, the expected migration to International Financial Reporting Standards (IFRS) and risk-based capital framework in the medium term.

While these measures are expected to improve the product proposition and propel the Indian insurance industry towards greater efficiency and effectiveness, leading towards the vision of Insurance for All by 2047, they are also expected to increase competition in the industry and lead to changes in operating models and technology adoption in the medium term.

Liquidity: Strong

AMLI has a strong liquidity profile, as on March 31, 2026, AMLI's cash inflows (premiums received+ investment income) stood at ₹47,803 crore against cash outflows (claims payouts + commissions + operating expense) of ₹29,846 crore, indicating a healthy liquidity buffer to meet these obligations. The company continues to have positive operating cashflow since the last five years. Additionally, over 95% of debt investments are in government securities (G-secs) and AAA rated bonds as of March 31, 2026.

Assumptions/Covenants

Not applicable

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Factoring Linkages Parent Sub JV Group
Life Insurance Sector

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Insurance	Life insurance

AMLI is a joint venture between MFSL (holding ~80.01% as on June 30, 2026) and ABL (with ABL and group companies holding ~19.99% stake) established in 2000. The company is among the top four life insurance companies in India (based on individual rated new business premium), offering protection and long-term savings insurance product through its multi-channel distribution, including bancassurance, agency, and brokers among others. The company has a pan-India presence through a network of 462 branches and sold over 9.35 lakh policies in FY26.

About MFSL

Focused on life insurance, MFSL holds and manages an 80.01% majority stake in AMLI (formerly Max Life Insurance Company Limited). MFSL is listed on the National Stock Exchange and Bombay Stock Exchange. MFSL is a publicly listed company and holding stake in AMLI is its main business. Its shareholding is widely dispersed with promoters holding less than 2%. Major shareholders include Mitusi Sumitomo Insurance (21.86%) as a non-promoter Foreign Direct Investment and Mutual Funds (36.99%) as of June 30, 2026.

About Axis Bank Limited (CARE AAA; Stable)

ABL is a private sector bank incorporated on December 03, 1993, and was promoted jointly by Unit Trust of India (now Administrator of Specified Undertaking of Unit Trust of India – SUUTI), Life Insurance Corporation of India (LIC) and General Insurance Corporation of India (GIC), and other four public sector undertakings (PSU) insurance companies. As on June 30, 2026, LIC holds 7.87% stake in ABL. The balance shareholding is widely dispersed. ABL is the third-largest bank in the private sector banking space with total assets size of ₹ 19,21,966 crore as on June 30, 2026.

ABL has a pan-India presence through a network of 6,295 domestic branches and extension counters, and 12,564 automated teller machines (ATMs) and cash recyclers spread across the country as on June 30, 2026, with total employee strength of over 1,00,700 as on June 30, 2026. The bank has strategic international presence with branches in Singapore, Dubai (at the Dubai International Financial Centre [DIFC]) and Gift City-IBU; representative offices at Dhaka, Dubai, Abu Dhabi, and Sharjah.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (A)
Gross Direct Premium	33,223	38,877	7,607
Profit after tax (PAT)	406	277	78
Tangible net worth (TNW)*	5,794	5,907	6,413
Solvency (x)	2.01	1.94	1.98
Persistency ratio (13th month) (%)	85.0	83.0	83.0
Persistency ratio (61st month) (%)	53.0	58.0	59.0

A: Audited; UA: Unaudited; Note: These are latest available financial results.
*Adjusted to intangible assets, deferred tax assets, and fair value change.

Status of non-cooperation with previous CRA:
Not applicable

Any other information:
Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Subordinate Debt	SEBI	Complex	Proposed	-	-	-	686.00	CARE AA+; Stable
Subordinate Debt	SEBI	Complex	INE511N08024	18-Feb-2025	8.34	18-Feb-2035	500.00	CARE AA+; Stable
Subordinate Debt	SEBI	Complex	INE511N08032	24-Sep-2025	7.95	24-Sep-2035	800.00	CARE AA+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debt-Subordinate Debt	LT	1300.00	CARE AA+; Stable	-	1)CARE AA+; Stable (02-Feb-26)	1)CARE AA+; Stable (03-Feb-25)	-
2	Debt-Subordinate Debt	LT	686.00	CARE AA+; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:
Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

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